higher education & training

Department:
Higher Education and Training
REPUBLIC OF SOUTH AFRICA

MARKING GUIDELINE

NATIONAL CERTIFICATE (VOCATIONAL)

ECONOMIC ENVIRONMENT
NQF LEVEL 2

8 MARCH 2019

This marking guideline consists of 6 pages.

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SECTION A

QUESTION 1

1.1	1.1.1	B
	1.1.2	C
	1.1.3	A
	1.1.4	C
	1.1.5	A
	1.1.6	D
	1.1.7	B
	1.1.8	A
	1.1.9	B
	1.1.10	A

(10 × 1) (10)

1.2	1.2.1	False
	1.2.2	True
	1.2.3	False
	1.2.4	False
	1.2.5	False
	1.2.6	True
	1.2.7	False
	1.2.8	True
	1.2.9	True
	1.2.10	True

(10 × 1) (10)

1.3	1.3.1	D
	1.3.2	G
	1.3.3	H
	1.3.4	J
	1.3.5	E
	1.3.6	I
	1.3.7	C
	1.3.8	A
	1.3.9	B
	1.3.10	F

(10 × 1) (10)
[30]

TOTAL SECTION A: 30

QUESTION 2

2.1 2.1.1 Rand
2.1.2 Pula
2.1.3 Dollar
2.1.4 Pound

(4 × 1) (4)

2.2 2.2.1
- Illegal strike – no work no pay
- Less income
- Might lose their jobs
- Can even destroy their premises (Any 2 × 1) (2)

2.2.2
- Production stops
- Less profits
- Products become obsolete in some firms (Any 2 × 1) (2)

2.3
- Employment opportunities
- Infrastructure had to be build, improved and updated
- Earning of foreign exchange
- More production in businesses
- Growth and development of informal businesses
- Growth in businesses
- Contributes to the economic growth (Any 3 × 2) (6)

2.4
- Overpopulation – there is a large number of people with limited resources
- Unequal distribution of resources
- Inability to meet high standard of living
- Inadequate education where people received limited education
- Economic and demographic trends
- Unemployment (Any 4 × 1) (4)

2.5 *Structural changes* refer to changes in the underlying structure of an economy,✓✓ e.g. change in technology.✓
Cyclical changes refer to the regular ups and downs (fluctuations) of economic factors,✓✓e.g. inflation.✓ (6)

2.6 *Globalisation* means businesses operate in an international market where changes in one part of the world may directly influence local business. (2)

2.7
- Production factors
- Not suitable for certain production sectors
- Lack of updated technology
- Lack of skilled and trained labour
- Income increases the demand for international commodities
- Cost differences (Any 4 × 1) (4)

[30]

QUESTION 3

3.1 3.1.1 (a) -90
(b) -50
(c) 0
(d) +40
(e) +80 (5)

3.1.2 Equilibrium price
= R3✓
Equilibrium quantity
= 60 units✓ (2)

3.1.3

PRICE (RAND)	QUANTITY DEMANDED	QUANTITY SUPPLIED	NEW QUANTITY DEMANDED
R1	100	10	140✓
R2	80	30	120✓
R3	60	60	100✓
R4	40	80	80✓
R5	20	100	60✓

(5 × 1) (5)

3.1.4 Equilibrium price
= R4✓
Equilibrium quantity
= 80 units✓ (2)

3.1.5 Right (1)

3.2 3.2.1 ✓ ✓ ✓
$8000 x R12,65 = R101,200 (3)

3.2.2
- Increase in the prices of imports
- Less goods will be imported
- Negative balance of payment (deficit)
- Shutting down of import markets
- Unemployment (Any 4 × 1) (4)

3.2.3
- Decrease in economic growth
- Increase in prices of goods and services
- Increase in retrenchments of workers
- Decrease in business's profitability
- Increase in cost of production (Any 4 × 2) (8)

[30]

QUESTION 4

4.1 Market environment (1)

4.2
- Copying kills the original owner's chances to grow the business.
- It destroys any chances of making profit. (2 × 2) (4)

4.3
- Local businesses need access to capital in order to boost the business, and government can assist there.
- International trade incentives are to encourage local businesses. (2 × 2)

(Any other relevant answer) (4)

4.4 4.4.1 Those businesses that are not registered and therefore don't pay tax. (2)

4.4.2
- They help to alleviate poverty.
- They provide employment.
- They contribute to the economic growth.
- They improve the standard of living of people. (Any 2 × 2) (4)

4.5 4.5.1 Money is any item or verifiable record that is general accepted as means of payment for goods and services and repayment of debts in a particular country. (3)

4.5.2
- The bank grants loan to a client.
- The amount is not paid out in cash.
- A deposit is created in the name of the client for the amount of the loan.
- This increases the bank's cash reserve requirement. (4 × 2) (8)

4.5.3
- Debit cards are swiped to make cash payments.
- They can be carried anywhere without any need to carry cash because they are used as cash. (2 × 2) (4)

[30]

QUESTION 5

5.1 5.1.1 *Inflation* is a sustained and considerable rise in the general price level of goods and services due to the fact that the money is losing its value. (3)

5.1.2
- Affects households' and business's purchasing power
- Erodes the salaries if it is not considered
- Pays more for imports
- Exports become cheaper
- Negative effect on the balance of payment
- Leads to strikes (Any 3 × 2) (6)

5.1.3 *Demand-pull inflation* occurs when there is an increase in the demand for goods and services, which will then push prices up. (2)

5.1.4
- Technology
- Interest rates
- Inflation rate
- Exchange rate (Any 2 × 1) (2)

5.2
- Current accounts
- Capital transfer accounts
- Financial accounts
- Unrecorded transactions
- Official reserve account (5 × 1) (5)

5.3 *Form value* means changing a product from one form to another form,✓ e.g. flour to become bread.✓
Possession value is ownership of a product once it has been purchased by a consumer,✓ e.g. purchasing.✓ (Any 2 × 2) (4)

5.4 5.4.1 HOUSEHOLDS
- Increases unemployment due to automation
- Expensive to become trained in this field (2 × 2) (4)

5.4.2 FIRMS
- Better quality of goods and services
- Expensive to buy machinery (2 × 2)(Any relevant answer) (4)

[30]

TOTAL SECTION B: 120
GRAND TOTAL: 150

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